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UNIT 1- GENERAL OVERVIEW OF PATRIMONY, PROPERTY AND PROPERTY LAW

1.1 RIGHTS PROTECTED UNDER THE CIVIL LAW AND THE CONCEPT OF PATRIMONY

Patrimonial Rights are those that have a pecuniary value such as property rights over things. Whereas **Extra Patrimonial Rights** are those rights that cannot be assessed in terms of money such as family, political and civil rights.

Patrimonial rights that arise out of contractual or extra-contractual relations are generally governed and protected by the law of K and Tort law respectively.

Patrimonial rights that arise out of contractual or extra-contractual relations are also referred to as **Rights In-Personam / Personal Rights**/ because they can be exercised against a specific person or persons.

Patrimonial Rights Over Things/ Property Rights/ are governed by the law of property and they are also called **Rights In-Rem/ Real Rights**/ since they can be exercised against any person who may interfere with the right-holder's enjoyment.

The totality or unity of patrimonial rights and obligations of a person constitutes his patrimony. For instance, an heir or legatee by universal title shall succeed all patrimonial rights and obligations of the deceased person. I.e. he cannot succeed the rights only since the elements of patrimony are transferred to him as unit. /See Arts 826, 898 & 942, Civil Code.

The characteristics of patrimony:

1. Every patrimony presupposes a person who is its holder
2. Every person has a patrimony
3. A person can have only one patrimony
4. Patrimony is inseparable from the person of its holder.

1.2 THE CONCEPT OF PROPERTY

In legal sense **Property** may be defined as an exclusive right to control, use, transfer... an object or a thing of economic importance and its fruits, exclude all other persons from its use and enjoyment and the follow the thing and its fruits in the hands of any person who might have unlawfully taken it.

The things in relation to which property rights are exercised are objects of property rather than property itself. Property rights are rights in-rem in the sense that it creates an obligation, on all other persons, to refrain from any act of interference in the use and enjoyment of a thing one owns or possesses.

*The owner may claim his property from any person who unlawfully possess or holds it and may oppose any act of **usurpation/Trespass**. (Art 1206, CC)*

1.3 DEFINITION AND SCOPE OF PROPERTY LAW

Property law deals with the allocation, use, and transfer of wealth and objects of wealth.

Property is frequently defined as the rights of a person with respect to a thing. But this is a poor definition because a thing cannot have meaningful legal relationship with a person, for example, a thing cannot bring or defend a lawsuit. Thus, property law can be defined;

✚ **PL is the complex of legal relationships between and among persons with respect to things.**

1.4 THEORIES OF PROPERTY

There are two main groups of theories of property; the first group attempts to explain how private property came to existence. The other group of theories is concerned with passing a judgment on the institution of private property and attempts to justify or condemn the institution. Thus, it tries to explain the economic and asocial reasons behind the recognition and protection or condemnation of private property.

1.4.1 THEORIES REGARDING ORIGIN OF PROPERTY

1. THE POSITIVIST THEORY

According to the positivist theory, law is nothing but the command of the sovereign, that is, the rules promulgated by government officials for reasons of public policy, protection of individual rights, promote the general welfare, increase social wealth or maximize social utility.

According to this theory Property and law are born together and die together. Before laws were made, there was no property! Thus, in the same token to the law, property is a creation of the state because the right to exclude others, the right to charge the thing for a debt, to alienate or leave by will can be feasible if only the state provided **the machinery (Law)** by which these rights could be enjoyed.

Criticism against Positivist Theory of Origin of the Property (*John Locke*):

- It is hardly possible to say the state and private property are the creation of the other. Since, the state is the result of a social contract in which the society transferred some of their rights to the state for the purpose of protection their rights including the right to property.

2. THE HEGELIAN THEORY (Hegel)

According to this theory, a human person is merely an abstract unit of free will or autonomy that does not have a concrete existence until that will acts on the external world (*Property*). Hegel concludes that the person becomes a real self only by engaging in a property relationship with something external. Such a relationship is the goal of the person. Hence, private property originated in the person's attempt to actualize his free will, i.e. when someone extends his wills to external things he makes that thing a part of himself.

An individual needs some control over resources in the external world to achieve proper self-development and to function as a human person.

3. THE OCCUPATION/ FIRST POSSESSION/ THEORY

This theory posits that property rights are established through the act of taking possession of resources that are un-owned or commonly held. It suggested that individuals can claim ownership of the resource by being the first to occupy or utilize it.

4. LABOR OR ENTITLEMENT THEORY

It posits that when an individual mix their labor with natural resource, they create a legitimate claim to ownership of that resources. The act of labor transforms un-owned property into the owned property.

1.4.2. THEORIES REGARDING THE JUSTIFICATION OF PRIVATE PROPERTY

A) Occupation Theory: tries to justify the existence of private property on the ground that the first occupier should be rewarded and property acquired in such a manner is ethically justifiable.

B) Labor Theory: private property is the result of individual labor because industry (hard work) should be encouraged by granting to a worker the ownership of the res, which is created by his labor so that even greater productivity is achieved. It encourages, hard work, saving and investment.

C) The Utilitarian theory: the function of the legislator/ state is to maximize the sum of human felicity (Utility) or happiness, and private property, which is the expectation of protection provided by the state, is justifiable because it increases human felicity/ happiness.

D) Hegelian Theory: some control of property is essential for the proper development of personality.

E) Marxist Theory: private property enable bourgeoisie to exploit the labor of the proletariat. Workers produce surplus value through their labor, but they do not receive the full value of what they produce; instead this surplus is appropriated by property owners.

1.5 OBJECTS OF PROPERTY

An object of property refers to the goods or things over which a right of property may be exercised.

1.5.1 INTRINSIC ELEMENTS OF THINGS

Unless otherwise provided, rights on, or dealings relating to goods shall apply to all intrinsic elements thereof.

For instance; Trees and crops are considered as intrinsic elements of land until they are separated there from or until a contract for their separation is concluded.

Anything which by custom is regarded as a forming part of a thing shall be deemed as an intrinsic element of the thing thereof (Art 1131).

A. Rights on or dealings relating to the principal thing shall include the intrinsic elements unless the parties have agreed expressly that such right or dealings shall not apply to them.

For instance, a contract of sale of a land rights or mortgage of a land shall include the houses and trees, unless the parties have expressly agreed that the sale or mortgage relates only to the principal and not to the intrinsic elements.

B. A thing that becomes an intrinsic element of another thing (the principal) ceases to exist as a distinct movable thing.

For instance, a water pipe fitted in a building or a newly bought windshield glass fitted to a vehicle ceases to exist as a separate thing or object of property. Hence, the right, which third parties previously had on such thing, shall be extinguished; and an owner or a person who has any other right in relation to such thing cannot recover the object from the owner of the principal thing. However, such person may claim reimbursement of the value of such thing and compensation for damages based on the rules of unlawful enrichment.

1.5.2 ACCESSORIES OF THINGS

Anything which a possessor or owner of a certain thing has permanently destined for the use of such thing shall be deemed to be an accessory thereof.

For instance; a tractor, or a pair of oxen, or a horse put by the owner/possessor of a land for the use of his land is considered as accessory. Similarly, a plot of land adjacent to a certain farm that is intended for the use of the farm or a private water well outside a certain farm and which the owner/possessor of the farm has destined for the use of such farm as a source of water is considered as an accessory to the principal thing, the farm.

Unlike intrinsic element of the thing, rights which a third party may have on a thing, accessory of another thing shall not be affected by its treatment as such.

1.6. CLASSIFICATION OF OBJECTS OF PROPERTY

1.6.1 THE PURPOSE OF CLASSIFICATION

1. The economic and social values attached to things are not the same, i.e., certain things are more important than others are. As a result, the rules governing the acquisition, transfer, proof and extinction of property rights over the various categories of objects are different. For instance; property rights over immovable things are given more protection than property rights over most movable objects.
2. The systematic classification of things in to various categories helps the legislator to enact special rules governing the particular category of things which will in turn enable students, judges and other legal professionals to easily understand the law and apply relevant rules to resolve various disputes involving the particular object of property.

1.6.2. CORPOREAL AND INCORPOREAL THINGS

This classification is based on the physical or material nature of things or objects.

Corporeal things are things that have material or physical existence and unity and hence, can occupy space and can be seen or touched. Corporeal things are divided into movable and immovable things.

Incorporeal things are things that do not have a material or physical existence, that cannot occupy space and hence that cannot be perceived by the senses. For example, copyrights a, patents, checks, bonds, business etc. However;

Property Law does not govern most of Incorporeal Things. For instance;

- Copyrights and patents rights fall within the scope of Intellectual Property Law.
- The rights contained in checks, promissory notes, bills of exchange, shares, bonds, warehouse good's deposit certificates and bills of lading are governed by the law of Negotiable Instruments, and
- Rights contained in share, bonds, business and good will governed under law of traders and business organization.

Article 1128 singled out claims and rights incorporated in securities to bearer and considered them as objects of property governed by property law.

Securities are one type of negotiable instruments particularly, documents containing rights for payment of a certain amount of money. Shares or stocks and bonds or debentures issued by companies or treasury bills issued by the government through the national or central bank are the typical examples of securities.

Securities to bearer, on the other hand, are securities that do not specify the name of the beneficiary of the rights, any person who holds the document is presumed as a lawful holder and payment shall be made to such person. And Rights contained in securities to bearer may be transferred by simple delivery of the document. **Thus, it is 'security to bearer' that is subject to the property law.**

1.6.3 MOVABLE AND IMMOVABLE THINGS

The **physical mobility or immobility** and **the value or importance attached** to various types of property is the base for this classification.

1.6.3.1 MOVABLE THINGS

Movable things are things which can move by themselves or be moved by man without losing their individual character.

A. SPECIAL MOVABLE THINGS

These are movable things by nature but due to the importance attached to them the law attaches characteristics of immovable things. Therefore for instance, transfer of ownership of a motor vehicle, airplane, and car etc. shall be done in similar manner as to the transfer of a building by registration of the act transferring the right, transferee, and transferor and issuing of title deed.

B. MOVABLES BY ANTICIPATION

These are immovable things by nature but which the law considers them as movable things by anticipation of their future removal.

According to Art 1133(2), trees and crops which are considered as intrinsic elements of land will be considered as distinct movable things or chattels where they are the subject to contracts for their separation. **For instance**, where a contract for the sale of standing trees is concluded, the trees that are not yet cut are considered as movable objects starting from the date of conclusion of such contract. **The same is true for component parts/intrinsic elements of a building, doors & windows**, which is going to be demolished are considered as separate movable objects even before the house is demolished.

1.6.3.2 IMMOVABLE THINGS

A. IMMOVABLES BY NATURE

B. IMMOVABLES BY DESTINATION

Immovable by destination are movable things that are placed permanently with an immovable thing for the latter's economic exploitation. They are movable things by their nature but which the law considers as immovable things because they are placed or attached to a land for its economic exploitation.

For instance, Accessories to land, such as horses, cattle, tractors and other movable things, which are intended to facilitate the use and exploitation of a land, are considered as immovable things by their destination.

1.6.4 REAL AND PERSONAL PROPERTY

1. **Real Rights/ Rights In-Rem** refer to either a **power to recover a specific thing**, or more often **a right that may be exercised against any person**. Whereas;
2. **Personal Rights/Rights In-Personam**; are **rights** that may be exercised **against a particular person**.

1.6.5 MISCELLANEOUS CLASSIFICATIONS

A. CHOSE(**Property**) IN ACTION AND CHOSE (**Property**) IN POSSESSION

Property in Action includes all personal right of property, which can only be enforced by action and not by taking physical possession. If A owes B ten pounds, B has a chose in action. **B** is confined to sue the **A** in court to recover his money. E.g. patent rights, copyrights, breach on K are property in action.

Property in Possession: An owner of a car has a chose in possession, because, even where another person is unlawfully using it, the owner has a right of retaking it.

B. FUNGIBLE AND NON-FUNGIBLE THINGS

Fungible Things consist of movable things that, in ordinary dealings, are usually determined by their generic name or things of the same nature.

Non-Fungible Things are movable or immovable things, which in ordinary dealings, are determined by their specific identity.

UNIT 2: POSSESSION

2.1 DEFINITION OF POSSESSION

2.1.1 DEFINITION OF POSSESSION

The classical analysis of property law, having its roots in Roman law, holds that possession requires **corpus** (physical control of the thing) and **animus** (intent). Thus, possession to exist a person must have some degree of **physical control** over a thing with an **intention to maintain such-control (through exercising property rights on the thing)**.

If a person has a thing in his power, without intending to exercise to it a real right, the situation is more specifically called simple occupancy or holding.

Hence, the following three situations became possible in relation to possession of a thing.

1. A man could have physical control without possession and its advantages (if he lacks animus element).
2. He could have possession and its advantages without physical control.
3. He could have both, i.e., he may have physical control as well as the advantages attached to possession.

2.2 DEFECTS OF POSSESSION

“Secret or dubious possession shall give rise to no right”, Art 1148

Possession may be affected by flaws either in the mental element/the animus /in the nature of the physical acts/the corpus/through which possession has been acquired or continued. A defective possession shall not produce the effects that are normally associated with possession (Art 1146).

2.3.1 PRECARIOUS POSSESSION

Possession of a person is affected by the defect of precariousness if the person does not have a right of ownership in relation to the object he holds.

Precarious possessions refer to the possession of those who hold a thing for another on basis of an agreement or at the expiration of the agreement they must return the thing. E.g., the possession of a usufructuary, a tenant farmer, leaseholder or a pledgee, is affected by the defect of precariousness. **Is precarious possession a defective possession under Ethiopian law? Read Art 1146.**

2.3.2 CLANDESTINE POSSESSION/ 146/1

Constructive Possession refers to a situation where an individual does not have physical possession of an item but has the power and intention to control it. Whereby the actual possessor or the mere holder declares that from that time on he will hold the thing in the name of the creditor who failed or refused to take delivery.

2.3.3 VIOLENCE, 1148

Possession acquired or continued by acts involving physical or psychological violence is vitiated by a defect of violence.

The Ethiopian law does not clearly declare violence as a cause for defectiveness of possession. However, we can deduce from the provisions of Art 1148, which allows a possessor to use force to recover a thing which has been taken away from him through violence, that a person who used force to acquire possession is not protected by the law as his action is unlawful and violates public interest for peace and order.

2.3.4 AMBIGUITY/ DUBIOUSNESS

Possession is said to be ambiguous where it is not clear whether the person is holding a thing in his own name or in the name of another person. See art 1146/3

This type of defect clearly related to the mental or animus element of possession.

2.3.5. Possessory Action versus Petitory Action, (read on Murado Abdo, pp 149 & ff)

2.4 EFFECTS OF POSSESSION

1. **Possession may create ownership either by occupation**, i.e., **by taking control of *Res-Nullius*** (a thing without an owner) or **through the expiration of a period of acquisitive prescription**. See Art 1151 and 1168
2. **Possession is a prima facie evidence of ownership** (in case of movable property), and he who would disturb a possessor must show either title/ownership or a better possessory right. See Art 1193

2.5 PROTECTION OF POSSESSION

The law protects possession by presuming the possessor to be the owner until someone else proves a better right to the thing than the possessor.

2.5.1 POSSESSORY ACTIONS

Possessory actions are legal actions or suits instituted by a possessor who has been disposed of his possession or whose possession is interfered with or whose possession is threatened by the actions of another person. See Art 1149

Possessory actions include actions to retain possession, actions in restraint of works by neighbors and actions to recover possession, cessation of the interference.

✚ Things and interests with regard to which a possessory action can be brought are corporal immovable, their usufruct, servitudes and immovable rights of enjoyment and use. However, since possession of corporeal movable things /chattels/ is equivalent to ownership, the action applicable to them is negatory actions

The possessor loses his right to require the restoration of the thing or cessation of interference where he fails to institute legal action within the period of two years (Art 1149/2, Amharic Version).

Negatory Action is an action based on title or ownership and that are intended to recover the same.

2.5.2 USE OF FORCE

Use of force is the other means provided by the law for the protection of possession. According to Art 1148 of the Civil Code, the possessor or holder has the right to defend his possession by using a reasonable force to prevent a person who intends to dispossess him or to retake possession of a thing which has been taken away from him by force or which has been stolen from him provided that the usurper is caught in the act or when running away. The law, under Art 1148, entitles even a mere/simple holder to this mode of protection of possession.

2.6 LOSS OF POSSESSION

Since both animus and corpus are necessary for possession, possession is lost when one of the two elements ceases to exist.

Possession is lost only by deliberate abandonment or by a physical obstacle that makes it impossible to reconstitute.

Furthermore, possession is not necessarily lost just because a third person has occupied the immovable. It shall be lost only if he occupies the immovable for two years (Art 1149/3, see Amharic version).

UNIT 3: OWNERSHIP

3.1 DEFINITION AND ELEMENTS OF OWNERSHIP

Right of ownership is the widest and the ultimate property right that may be exercised in relation to things or objects. Ownership is an absolute right in a sense that the owner may do as he likes with the thing that he owns. **A right of ownership is composed of the following main elements; -**

- a. The right to use the object himself (**the usus**)
- b. The right to collect and use fruits - such as crops or rents (**the fructus**)
- c. The right to dispose of it and its fruits by alienation or by destruction (**abandonment**) and
- d. The right to charge it with pledge or mortgage (**the abuses**)

Ownership is said to be 'exclusive' because these rights are in principle available only to the owner.

Ownership rights may be restricted by law or by an agreement he has made with another person (Art 1204/2). For instance, the law of nuisance limits, in the interest of his neighbors, the owner's right to use his property as he wishes or he may transfer some of his rights to another through a contract of usufruct or hire or lease.

The term ownership denotes the various rights and privileges that constitute the content of ownership, as a unit rather than ownership itself. Hence, a person may transfer some or all of these rights while still retaining ownership over the object.¹

✚ We can consider **Ownership as the Magnetic Core**; which remains when all present rights of enjoyment are removed from it and which attracts to itself the various elements temporarily held by others as they lapse.

3.2 RESTRICTIONS ON THE RIGHT OWNERSHIP

Though ownership is an absolute and exclusive right a person may have relation to things; it is subject to various legal restrictions, (Art 1204/1).

Restrictions may be based on public interest; for instance the law orders that animals affected by or suspected of having contagious diseases not be sold or offered for sale.

¹ For example, an owner who has leased his house shall retain ownership of the house even though he has temporarily lost his right to possess and use the house until the term of the lease expires, which shows that ownership is distinct from its contents.

Immovable things may be expropriated, against payment of compensation, where they are needed for public purposes.

The law may also require that an owner be prohibited completely from exercising certain powers naturally inherent in right of ownership, or allow him to exercise them only under specific conditions.

E.g. court on temporary injunction of the property subject to the suit.

The restriction on the right of ownership may also be based on considerations of mutual interest of neighboring estates.

3.3 PROPERTY RIGHTS WITH REGARD TO LAND AND WATER

Under Art 40 of the FDRE Constitution land/ both rural and urban/ is declared to be the property of the state of Ethiopia and its peoples.

Waterways (rivers), lakes and underground accumulation of water shall be deemed to form part of a public domain. See Arts 1255 and 1447, and Art 40(3) of FDRE Constitution.

No person may without permission construct on his land a drilling (ጥፋጥፋ) exceeding one hundred meters in depth (Art 1255/2).

3.3.1 SCOPE OF RIGHT OF OWNERSHIP/USE OF LAND

The holding and use right of land includes what is above it. The air space is exclusively the holder's and he can erect in it structures, he may demand the destruction of works which, in any way infringes his air space, or the cutting of branches which grow in to it. See Arts 1211 & 1212

He can also contest the stretching of cables or wires over his land holding, for the purpose of transporting objects or energy.

There is a presumption that the owner/holder of the land owns what is constructed on it.

The ownership/holding of the land extends to a depth below, including all the objects located there. Art 1255(2) limits this right to a depth of 100 meters. The owner has the right to cut the roots of trees of a neighbor that grow into his holding.

3.4 ACQUISITION OF OWNERSHIP

Derivative Acquisition: Refers to the mode of acquisition right of ownership through transfer from one person to another. It is a mode of acquisition in which the right of the transferee is dependent on the right

of the transferor. Hence, the governing principle here is that no one can transfer a better title or right than he has.

Original Acquisition; this mode of acquisition involves the creation of new property a right, which is independent of any preexisting rights over the same thing. E.g. Acquisition of ownership through possession in good faith;

Whosoever acquires a corporeal chattel shall be deemed to be in good faith where he believes that he is contracting with a person entitled to transfer the thing to him (Art 1162).

Original Acquisition of ownership includes occupation, possession in good faith, accession and usucaption/ acquisitive prescription.

3.4.1 OCCUPATION (Art 1151)

Occupation is a mode of acquiring ownership by the sole fact of taking possession of a thing that does not have an owner with the intention of becoming an owner. However, this mode of acquisition is limited to chattels/movable things such as **wild animals, birds, bees, fish** /res nullius/ and abandoned chattels and treasures. Therefore it is not applicable to the immovable even if it's unowned since land is the property of the state and the people & its ownership arises with the issuance of a title deed.

3.4.2 POSSESSION IN GOOD FAITH

Acquisition of ownership through possession in good faith is a mode of acquisition in which a person who purchases a corporeal movable thing from a person who is not an owner or who is not entitled to alienate or transfer a thing, becomes an owner of such thing originally as a result of his good faith.

In other words, a person who purchases a corporeal movable object from a finder or a thief, with the belief that he was purchasing it from the owner of the thing or a person who is entitled to alienate it, shall become the new owner of the thing where he purchased it in good faith, i.e., with the belief that the seller is the actual owner of the thing and took possession of the thing. See Art 1161/1 & Art 1162/1

This mode of acquisition is based on practical considerations of impossibility of registration of all chattels /corporeal movable things/ and the consequent impossibility for the purchaser to ascertain the title of the seller of such goods. It is also intended to protect freedom of contract that helps the promotion of free transfer of goods and ensure security of transactions by enabling the bona fide purchaser to acquire a new right of ownership by protecting him from any claim by the true owner of such thing 1161(2). Otherwise, transactions involving chattels in respect of which registration and issuance of deeds is almost impossible, will result in uncertainty of contracts and business transactions and will hinder free circulation of goods.

3.4.3 ACQUISITIVE PRESCRIPTION (USUCAPTION)

The concept of prescription, in its broad sense, includes both *Acquisitive Prescription* through adverse possession (usucaption) and *Extinctive Prescription (Statute of Limitations)*.

A. *Acquisitive Prescription*

AP is a mode of acquiring ownership title or some real interest through possession that is free from defects, exclusive and continuous (See Art 1150 (junction of possessions & Art 1168 Usucaption)). Furthermore, the possession must be adverse, i.e., contrary to the owners will.

✚ What does Junction of Possession Mean, Art 1150?

B. *Limitative/Extinctive Prescription*

LP is a defense through which it is generally possible to resist a claim on the sole ground that the claimant failed, for a certain period, to bring the action or to exercise the right on which it is based.

The rationale behind this principle is that owners must not leave their property unattended for a long period of time. In case where the owner leaves his property unattended and fails to claim its restoration within the period of time determined, the law assumes that the owner does not need the property anymore and hence decides to reward a person who can put the same to a better use for himself and the public.

According to Art 1168 of the Civil Code a person who has possessed an immovable belonging to another for a period of fifteen consecutive years and who has been paying taxes relating to ownership of such immovable shall become the owner of the immovable through acquisitive prescription or usucaption.

The main requirement in this mode of acquisition is that;

- I. **The possession should be adverse**, i.e., the possessor must have a claim contrary to the right of the owner and persons who possess an immovable thing on the permission of the owner may not acquire right of ownership to it. In addition,
- II. **The possession should also be continuous** /see also Art 1150 of the code/ and free from defects under Art 1146 of the code.

Art 11168/2/ of the Civil Code entitles the person who does not fulfill the requirements of Art 1168/1/ but who has fulfilled the requirements under Art 1146 and 1149/2 / to the right of possession and the protections provided for possessors. Hence, a person who possessed, for more than two years but lesser than fifteen years, an immovable belonging to another and whose possession is defect free shall be

considered as a lawful possessor protected by the provisions of Art 1148 and 1149 of the code. The same shall be true of a person who did not comply with the tax requirements of Art 1168/1/ of the code.

The application of this mode of acquisition is restricted to immovable things and that an owner of a movable thing who failed to exercise his right of ownership /to claim restitution of the thing for a period of 10 years/ loses his right of ownership and the thing becomes a thing without an owner /res nullius/, which can be acquired by occupation. See Arts 1192 and 1152.

3.4.4 ACCESSION

Accession is a mode of acquisition of ownership through the union of two or more things belonging to two or more persons.

In principle, when the two things now joined belonged to different persons before the union, each owner should be able to request their separation. However if separation is not possible; the owner of the principal owns the new thing (Art 1183).

Accession also applies to increase from breeding in case of animals. Hence, the owner of the mother shall become the owner of the increase/calf (Art 1171).

Crops sown on the land of another person who sows seeds on a land that belongs to another person against a clearly expressed objection of the owner/holder shall not become the owner of the crops; the owner of the land can acquire the ownership of the crops through accession. Art 1172-1174

Adjunction: It is a union of two movable things belonging to different owners in which the things form a single whole, the owner of the new thing /the principal/ shall become the owner of such parts/ the accessory/. But will have to pay the value of the thing so joined to the owner of the accessory thing. Art 1183/2

Transformation (specification); is the act of making a new thing with material belonging to some one else, the worker shall become the owner of the new thing if the labor supplied is of great value than that of the material, for example, a painter who uses canvas and ink belonging to another person shall be the owner of the painting he has done. See Art 1182.

3.5 TRANSFER OF OWNERSHIP RIGHTS

Ownership may be transferred by virtue of law (e.g. in case of intestate succession) or by agreement, Such as K of sale, donation contract, and will

The right of ownership of ordinary corporeal movable things (chattels) is transferred by the transfer of possession, pursuant to the provisions of Art 1143-45.

Possession may be transferred by delivery or handing over of the thing, or by delivery of document representing the thing such as bills of lading, way bills, warehouse goods" deposit certificates or constructively.

Constructive Possession refers to a situation where an individual does not have physical possession of an item but has the power and intention to control it. Whereby the actual possessor or the mere holder declares that from that time on he will hold the thing in the name of the creditor who failed or refused to take delivery.

Transfer of ownership right over immovable things and special movable things is effected by striking out of the name of the transferor and entering the name of the transferee in the registers of immovable things and special movable things respectively, and issuing a new title deed in the name of the transferee. See Art 1185 and 1189 of the code.

The issue by the administrative authorities of a title deed to the effect that a given immovable belongs to a given person shall raise a presumption that such person is the owner of such immovable. However, **this presumption can be rebutted by showing that the plaintiff acquired the ownership of the immovable after the day on which the title deed was issued.** See Arts 1195 & 1196

3.6 PROOF OF OWNER SHIP RIGHTS

The mode of proof of the existence of a right of ownership varies depending on the type of the object of the right.

While the ownership of the movables proved by possession, the owner of an immovable object or a special movable object may establish his ownership by producing a title deed.

According to Art 1195 the issuance of a title deed shall give rise to a presumption that the person named therein is an owner of the immovable mentioned. **However, this presumption may be rebutted where:**

- a. The title deed is not issued in accordance with the law, see Art 1553-1636
- b. The title deed is issued by an authority having no jurisdiction, see Art 1553(1)
- c. The title deed was issued on the basis of an invalid act, such as a void contract
- d. The plaintiff acquired the ownership of the immovable after the day on which the title deed was issued.

3.7 EXTINCTION OF OWNERSHIP RIGHTS

Absolute Extinction of Right of ownership: the owner or another person may no longer exercise right of ownership in relation to that thing because the thing is destroyed, or it has lost its individual character or if the thing is expropriated for public purposes.

Relative Extinction of Right of Ownership: when the present owner right extinct and such right transferred to another through acquisitive prescription /usucaption, or transfer or waiver or renunciation.

UNIT 4- JOINT OWNERSHIP

4.1 DEFINITION AND SCOPE

Joint ownership is the right of ownership exercised by two or more persons in relation the same object.

The main characteristics or natures of joint ownership are:

- The thing, which is jointly owned, is undivided and
- Each joint owner is considered as owner of each and every part of the thing

Where there is no agreement as to the share of joint owners, the law presumes that they have equal share.

4.1.1. THE SCOPE OF RULES GOVERNING JOINT OWNERSHIP

The rules on joint ownership are developed and applied to cases where the relations between the co-owners are simple relations of common interest in a thing. Hence they do not apply to things held jointly as a result of a partnership agreement, i.e., an agreement to join resources with the purpose of undertaking commercial activities and earning a profit.

Similarly, the community of property of spouses common/joint properties of spouses are governed by special body of law, i.e. Family Law not by the law of property.

Joint ownership of things is regulated primarily by the agreement entered into by the joint owners at the time of inception of joint ownership, is governed by law of contract. Thus property law shall only apply where there is no agreement or a provision governing the various aspects of joint ownership or where such agreement or provision is defective or invalid.

4.2 SOURCES OF JOINT OWNERSHIP

Contract: a contract is a common source of joint ownership. Two or more persons who intend to acquire and use a thing commonly or jointly may enter in to a contract creating joint ownership.

Law: For instance, Art 1060 of the Civil Code provides that a succession shall remain in common between the heirs until it is partitioned or divided among them.

Each joint owner has the right to dispose of his share in the thing jointly owned but not dispose the thing (See Art 1260).

4.5 SPECIAL CASES OF JOINT OWNERSHIP

A. PERPETUAL JOINT OWNERSHIP

Perpetual joint ownership represents a joint ownership in which joint owners do not have the right to demand termination because of the nature or purpose of the thing or where sale or partition is impossible or unreasonable. See Art 1276

For example, lanes, passages, yards, wells, sewer pits, paths, roads, dams, canals, party walls, and common portion of condominium houses.

B. PARTY WALLS

A party wall is a wall placed on the boundary line between two estates, and belonging in common to their owners, including the land on which it rests.

UNIT 5 – USUFRUCT

5.1 DEFINITION

Usufruct may be defined as a real right, temporary or for life, which entitles a person called, the usufructuary, to possess, use and enjoy a thing, which belongs to another person called the bare owner, and its natural fruits, with the duty of preserving its substances and restitution to the bare owner up its termination. See Art 1309(1), 1328, 1347, 1348, and 1311

Usufruct Right is personal to the beneficiary and hence cannot be transferred and may not pass to his heirs (it will be terminated upon the death of the usufructuary or lapse of period by which it was created).

A Right of Usufruct may be created in relation to;

- ✿ Incorporeal Things
- ✿ Corporeal Things
- ✿ Movable Things
- ✿ Immovable Things

By its nature usufruct presupposes the possibility to use and enjoy a thing, while preserving its substance. Hence, things that are consumed by their first use and not possible to preserve its substance are not subject to usufruct.

5.2 SOURCES OF USUFRUCT

1. **Agreement:** Usufruct may be created by agreement or contract for consideration or without consideration.
2. **Will:** Usufruct may also be created by a will of the deceased owner.

5.3 RIGHTS AND OBLIGATIONS OF THE USUFRUCTUARY

- I. **The Conservation of the Substance of the Thing**
- II. **The usufructuary has the right to use and enjoy the thing, and its fruits with due and diligent care.**

The right to use and enjoy shall be exercised by following the pattern established by the owner and he must follow the prior use of the thing.

III. **The obligation to up-keep the thing: -**

The usufructuary has an obligation to have regular maintenance and repair works done at his cost (Art 1313). He also has an obligation to inform the bare owner where the thing requires **major or considerable repairs**² where such damage or deterioration of the thing is not caused by his fault.

- IV. **The usufructuary has an obligation to pay all the charges encumbering the profits of the thing** such as annual taxes such as land tax, building tax or income taxes
- V. **The usufructuary has an obligation to inform the bare owner about any act of interference by a third person in the rights of the bare owner.**

For instance, he must inform the bare owner of any person, whether in court or outside of a court, challenging the right of ownership of the bare owner over the thing. Where a usufructuary fails to comply with this provision and the bare owner loses his right of ownership, he shall be liable to compensate the bare owner as if he himself caused the loss or damage of the rights of the bare owner (Art 1342).

- IV. **The usufructuary has an obligation, at the time of extinction of the usufruct, to restore or restitute the thing to the bare owner or his agent.**

² Considerable or major repairs are repairs that require expenses that are greater than the average annual income generated by the thing.

5.4 EXTINCTION OF USUFRUCT

1. **Death of the usufructuary:** the right of usufruct shall terminate up on the death of the usufructuary (Art 1322(1).
2. **Lapse of the period for which it is created**
3. **Extinctive prescription:** lack of exercise of any of the usufruct rights or complete absence enjoyment, see Art 1310 cum 1192
4. **The loss or destruction of the thing**
5. **Consolidation or merger of the position of the bare owner and the usufructuary in one person.**

This happens when the usufructuary acquires bare ownership (by contract or succession) or when the bare owner acquires the usufruct by contract.

6. **Forfeiture or waiver of right by the usufructuary**
7. **Acquisitive prescription in favor of a third party.** See Art 1310 cum 1168

UNIT 6- SERVITUDE

Servitude is a right in rem / real right/ over a definite plot of land, called the **Servient Tenement** and annexed to another plot of land, called the **Dominant Tenement**.

Servitude is a right in rem / real right even it is created either by operation of law or contract that means even if it's created by agreement of the parties it binds the future owner of such land.

Servitude is a property right vested in the owner/holder of one plot of land to use a land belonging to another for certain purposes. It is a right that can only exist in relation to two or more plots of land belonging to two or more persons. *However, these lands are not required to be adjacent.*

Servitude may also be defined as *an encumbrance or restriction on the right of ownership of the owner of the servient tenement for the benefit of the owner of dominant tenement.*

Note that an obligation to perform positive acts (from the owner of servient tenement) cannot be made the subject matter of servitude (Art 1360).

ቁ-1360 ፤ አንድ የማድረግ ግዴታ ከአንድ የንብረት አገልግሎት ጋራ በተጨማሪ የተያያዘ ካልሆነ በቀር ሊኖር አይችልም ።

ለምሳሌ ፣ X በ Y ባር አቋርጦ ከብቶቹን አሻግሮ ወሃ የማጠጣት የንብረት አገልግሎት መብት ያለው እንዴ ሆነ፣ Y አገልግሎቱን ከመፍቀድ ውጪ፣ የማድረግ ግዴታ የለበትም (ከብቶቹን የምኑዳበትን መንገድ የማስተካከል ግዴታ የለበትም)።

Servitude creates an obligation, on the owner of the servient tenement, only to refrain from preventing the owner of the dominant tenement to do certain acts that the latter would not have been able to do otherwise. Thus, Servitude shall not create an obligation to perform positive acts on the owner of the servient tenement. See Art 1359/2. **But exceptionally;** the law allowed parties to make an agreement in which the owner of the servient tenement undertakes to perform works necessary for the enjoyment and preservation of the right of servitude.

Art 1373: *The dominant owner may take any steps and construct any works necessary for the enjoyment and preservation of the servitude.*

6.2 PURPOSE OF SERVITUDE

The main purpose of servitude is to enable the owner of the dominant tenement to derive the best possible use and benefit from his land by giving him certain rights on the land belonging to another person, called servient owner.

The owner of the servient tenement has the right to redeem the servitude where the benefits or advantages it provides to the dominant tenement are lesser than the inconveniences or damages it causes to the servient tenement. See Art 1383.

6.3 SOURCES OF SERVITUDE

1. **A contract (Art 1362/1/)**
2. **A will**

Where the deceased person who divides his land holding between two or more persons. In other words, the testator who owns/holds a land may burden one of the lands with servitude of a certain type for the benefit of the legatee of another plot of land. See Art 1362/2/ of the Civil Code.

3. **Acquisitive prescription**

According to Art 1366 of the Civil Code, servitude may arise from enjoyment of the servient tenement for a period of ten years. However, this mode of acquisition applies only to apparent servitude.

However, a servitude acquired through acquisitive prescription shall not affect third parties unless its acquisition is registered in the register of immovable properties. For instance, the owner of the dominant tenement cannot exercise his right against the transferee of the servient tenement unless his rights are entered in the registers of immovable properties. See Art 1368 /2/

4. **The provisions of the law**

6.4 TYPES OF SERVITUDE

6.5.1 URBAN SERVITUDES AND RUSTIC/ RURAL SERVITUDES

1. Urban Servitudes: are servitudes created and enjoyed in urban areas. They include right of view, right of way, right to install water, gas or electrical lines.

2. Rural or Rustic Servitudes: are those types of servitudes created and enjoyed in rural areas such as right of way or right to cross a parcel of land on foot, with animals, during the dead season, across fields, rights of pasture, watering animals, wood-cutting, irrigation.

6.5.2 CONTINUOUS AND DISCONTINUOUS SERVITUDES

1. A Continuous Servitude: is a servitude that continues without continuous human intervention. For example, Servitudes of view and drawing water are considered as continuous servitudes. For example, Servitudes of view and drawing water are considered as continuous servitudes.

2. A Discontinuous Servitude: is a servitude that cannot exist without a continuous human intervention. Therefore, for such kind of servitude to continue to exist, the beneficiary must continue to use /exercise the right created by it.

6.5.3 APPARENT AND NON-APPARENT SERVITUDES

1. Apparent servitudes are servitudes that are manifested by external works/sign such as ditches, pipelines or an aqueduct, roads (means of enjoyment). Art 1366/2

2. Non-apparent Servitudes are servitudes whose existences are not manifested by external works necessary for their enjoyment by the owner of the dominant tenement (Art 1367). E.g. Servitudes of pasturing animals, cutting wood and extracting quarry.

✚ *Non Apparent servitude may not be acquired by prescription.*

6.5.4 Positive and Negative Servitude

1. Positive Servitude: where the servitude entitles the owner of the dominant tenement to use the servient tenement for a specified purpose. Servitude of way, extracting quarry, drawing water are examples of this type of servitude.

2. Negative Servitude: where it imposes on the owner of the servient tenement the obligation to refrain from doing certain activities on his land, for example, from erecting certain kinds of buildings or planting

trees. The owner of the dominant tenement does not have right to perform positive acts on the servient tenement. See Art 1359(2). Right of view is a very good example of a negative servitude.

6.6 EXTINCTION OF SERVITUDE

I. Waiver /release by the owner of dominant tenement.

Waiver or release by the dominant owner/holder shall extinguish servitude only where it is made in writing and where the right that was registered in the register of immovable properties is cancelled or stricken out (Art 1381(1) and (2)).

II. Disappearance of the apparent signs in cases of apparent servitudes or failure to exercise the right arising out of the servitude

III. Redemption of the servitude (የንብረት አገልግሎትን መልሶ መግዛት) by the owner of the servient tenement;

The owner of the servient tenement may buy the servitude back where the continuation of the servitude damages the value of the servient tenement and, where the benefits derived by the owner of the dominant tenement are lesser than the damages it causes to the servient tenement. Art 1383

IV. Surrender of the servient tenement to the owner of the dominant tenement;

Servitude shall be extinguished where the owner/holder of the servient tenement has an obligation to perform positive works such as construction, maintenance and repair of means of enjoyment and is not able or willing to cover the costs, and surrenders the servient tenement to the owner of the dominant tenement. See Art 1374.

UNIT 7 - RIGHT OF RECOVERY AND RESTRICTIONS ON THE RIGHT TO TRANSFER CERTAIN THINGS

7.1 RIGHT OF RECOVERY

7.1.1 DEFINITION

Right of Recovery is a right of a person to recover a thing sold by an owner from the buyer by paying the price and costs the latter has incurred (Art 1386). In other words, right of recovery is a right where by its beneficiary can force the buyer of a thing to sell it to him.

The Right of Recovery is intended to keep things within a certain group of persons, such as a family or joint owners. **This right is always the result of legal provisions.** Therefore, this right may not arise from contract, will or any other source. Thus, it is a right personal to the beneficiary and hence cannot be transferred to another person.

The right of recovery is intended to keep immovable things among persons having a blood relationship because of the economic or social value immovable things have among the society.

7.1.2 PERSONS HAVING A RIGHT OF RECOVERY

There are two classes of persons to whom a right of recovery is granted by law.

1. Relatives by consanguinity

According to Arts 1389 and 1394/2/ of the Civil Code relatives by consanguinity of the seller of an immovable thing have the right to force the purchaser of such immovable, against payment of the price he has paid and other costs.

The co-heirs have a right of legal preemption against a person to whom rights to a succession have been assigned, except the case where the assignment has been made in favor of one of the heir. Art 1125/1

The rights of recovery provided by law shall be exercised in the following order:

- a. By the joint owners;
- b. By the relatives consanguinity

✚ Furthermore, Art 1396 excludes right of recovery of relatives where the immovable transferred is situated in urban area/ town planning area/ or where it mainly consists of a dwelling house or some other building.

2. Joint Owners: shall have a right of recovery where one of the joint owners sells his share of right in thing jointly owned. See Art 1260, 1261, 1388 and 1394 of the Civil Code.

7.1.3. CONDITIONS FOR THE EXERCISE OF RIGHT OF RECOVERY

The beneficiary of a right of recovery must declare his intention to buy the thing or usufruct within two months from the date he is informed of the transfer of ownership or usufruct to a new owner or usufructary.

However, if he is not notified, then he may exercise his right with in a period of one month from the date the joint owners knew of the transfer. On the other hand, where the right is exercised by relatives, the

beneficiary must declare his intention to exercise his rights within six months from the date of transfer of possession.

Such, declaration of intention to exercise a right of recovery must be accompanied by securities, (Art 1403)

Cases whereby the rights of recovery cannot be exercised:-

1. Where the buyer is himself a beneficiary of right of recovery
2. **Where the immovable sold is situated in a town planning area or it consists mainly of a dwelling house or building.** This prohibition particularly applies in cases of the right of recovery of relatives.
3. Where the thing is expropriated

A beneficiary of a right of recovery cannot force a public authority or any other organ that has a power to expropriate private property for public purposes (Art 1399). See Also Arts 1460-1488.

7.1.5 LOSS OF RIGHT OF RECOVERY

Beneficiary loses his right to recovery, if he fails to declare his intention to exercise his right, to recover the thing, within two months from the date when he is informed of the transfer of ownership/usufruct, or within one month from the date he knew of the transfer, if he is not informed, where the beneficiary is a joint owner (Art 1401/1/).

Relatives who have a right of recovery shall lose their right where they fail to declare their intention to exercise the right within a period of six months from the date they knew of the transfer, (Art 1401/2/).

7.2 PROMISE OF SALE AND RIGHT OF PRE-EMPTION

7.2.1 DEFINITION AND REQUIREMENTS FOR VALIDITY

A Promise of Sale: is a contract where by the owner of a thing undertakes to sell it to the promisee or another person specified if and when the promisee or such other person decides to buy it (See Arts 1410 (1), 1416 and 1417).

The owner cannot sell the thing to another person who might have offered a better price, nor can he refuse to sell the thing to the beneficiary of the promise, when the beneficiary has made his decision to buy the thing within the time agreed upon on the contract.

Right of Pre-emption: is a right arising out of a contract where by the owner of a thing is obliged to sell it to a specified person if and when he/the owner/ decides to sell it (See Arts 1410(2) and 1418). Though

the owner has the right not to sell the thing, his right to sell thing to any person who comes up with the best deal ceases to exist.

An agreement for a promise of sale or right of pre-emption shall only apply on the immovable and special movable things (Art 1411/1).

Contracts creating promise of sale or right of pre-emption shall not be valid unless they are made in writing, and unless they specify the time within which the right is to be exercised, the price for which the beneficiary of the right may purchase the thing and they are registered in the register of the property concerned.

The rights arising from such agreements cannot be transferred by contract or inheritance and the creditors of the beneficiary cannot exercise them (Art 1415).

7.2.2 RIGHTS AND DUTIES OF THE PARTIES

A. PROMISE OF SALE (ለሽያጭ ተስፋ ቃል መስጠት)

1. The maker of the promise/ the owner of the thing/ may not alienate or sell the thing or charge it with real rights /rights in-rem/ such as usufruct in the period for which the promise is effective. However, he may pledge or mortgage it for an amount not exceeding the price fixed in the contract creating the promise (Art 1416).
2. Where the thing is attached by court order, the owner must notify the promisee of such proceedings. (See Art 1417)
3. Where the owner of the sells the thing to a person other than the beneficiary, the latter shall have the right to force the buyer of the thing to sell it back to him at the price agreed up on in the contract creating the promise.

B. RIGHT OF PRE-EMPTION (በቀደምትነት የመግዛት መብት)

1. The owner has the right to create any kind of right in-rem on the thing, but he may not sell or transfer it to another person. Where he decides to sell the thing, he has the obligation to inform the beneficiary of his intention to sell the thing and the chargers/ such as mortgage, usufruct, and servitude etc. See Art 1418 /1/ and/2/.
2. In case of attachment, the owner of the thing must notify the situation to the beneficiary.
3. The beneficiary must exercise his right with in two months from the date he received the notice of the owner's intention to sell. However, this period of notice may be extended to a period not exceeding one year by agreement. Art 1419

7.3 PROHIBITION OF ASSIGNMENT OR ATTACHMENT

7.3.1 DEFINITION

Prohibition of assignment or attachment arises from a contract or will where by certain things are transferred and where by the transferor prohibits the transferee from assigning or transferring the thing to another person. Art 1426

Prohibition of assignment or attachment may freely be made with respect to ordinary movable things (chattels). Such restrictions will bind only the person who accepts them and hence, **it does not create a real right** that can be raised against third parties. Art 1426/2

Prohibition of the right of attachment or assignment with respect to immovable things is possible only in cases allowed by the law. See Art 1427, 1428 and 929-936

7.3.2 FORMAL REQUIREMENTS

A provision prohibiting assignment or attachment shall be of no effect unless it is made in writing and it specifies the duration of the prohibition, which may not exceed 20 years or the life of the transferee. See Arts 1430, and 1431.

It must also be registered in the register of immovable things where such provision is made in relation to immovable things. See Art 1432.

The person making the provision may prohibit the acquirer from assigning or selling it for a period not exceeding 20 years. See Art 1431.

UNIT 8 - COLLECTIVE EXPLOITATION OF PROPERTY

8.1 DEFINITION AND NATURE OF PUBLIC DOMAIN

Not all property of the state, and its various administrative units and the municipalities are subject to the same rules. Some of them form part of the public domain while others form the private domain of the state.

Property Forming Part of the Private Domain of the State are treated in the same manner as the private property of individuals and are governed by the rules governing privately owned property. For instance, properties owned by the public enterprises such as the Commercial Bank of Ethiopia, Muger Cement Factory, Harar Brewery.

Property Forming Part of the Public Domain of the State: are governed by the rules dealing with collective exploitation of property rather than the rules governing privately owned property. For instance; the buses owned by the Anbesa City Bus Services, Black Lion Hospital, Atse Yohannes School

Definition (Art 1445):

Property belonging to the State or other administrative bodies shall be deemed to form part of the public domain where:

- (a) *It is directly placed or left at the disposal of the public (ህዝብ እንድጠቀምባቸው ወይም በቀጥታ እንድገለገልባቸው የተመደቡ ሲሆኑ); or*
- (b) *It is destined to a public service and is, by its nature or by reason of adjustments, principally or exclusively adapted to the particular purpose of the public service concerned (ለአንድ የህዝብ ጥቅም ለሚሆን የሥራ አገልግሎት የተመደቡ ሲሆኑና በአይነታቸው ወይም በልዩ ልዩ አሰራሮች ለዚህ የአገልግሎት ድርጅት ብቻ ወይም ለዚህ ስራ ይበልጥ እንዲያገለግሉ የተመደቡ ሲሆኑ ነው) ::*

Basic Characteristics of Properties Forming Part of the Public Domain

1. Inalienability (የማይሸጥ የማይተላለፍ)

Properties forming part of the public domain cannot be transferred by sale or inheritance or donation or any other mode of transfer unless they are declared that they no longer form part of the public domain.

Art 1454

- 2. Impossibility to acquire by possession in good faith or usucaption or acquisitive or extinctive prescription. Art 1455
- 3. Properties forming part of the public domain may not be occupied by a private person without the authorization of a competent public authority. Art 1456

8.2 EXPROPRIATION

8.2.1 DEFINITION

Expropriation is defined as the power of a sovereign state to take or authorize the taking of private property for public purpose or use without the owner's consent but conditioned up on payment of commensurate/just compensation in advance.

INDIRECT EXPROPRIATION

The competent authorities may use indirect expropriation, where the work or project intended does not seriously impair the rights of the owner or the possessor or does not notably reduce the value of the immovable, for example installation of underground pipes, aerial lines, electric or telephone poles.

In this case, Expropriation may be undertaken without following the procedures required for expropriation.

✚ Indirect expropriation is not applicable to acquire or extinguish ownership of dwelling houses.

8.2.2 EXPROPRIATION PROCEDURES UNDER THE CIVIL CODE

The first step in the expropriation procedure is to determine as to whether the proposed project serves a public purpose or not.

Second, the competent authority shall determine the land required for the implementation of the project and **personal notice shall be given to the owners, bare owners, usufructuaries of the immovable he intended expropriation.** They are entitled to express their views on the necessity of such expropriation within a reasonable period of time. **Where there is no opposition or the opposition is not accepted, the competent authorities shall make or issue the expropriation order.**

The owner, bare owner and usufructuary of an expropriated immovable and any person who benefits by a servitude in such immovable shall, within one month from having been served with the expropriation order, inform the competent authorities of the amount of compensation they claim (Art 1470). **If the competent authority does not agree with the amount of compensation claimed by the person entitled, the amount to be paid shall be fixed the Arbitration Appraisement Committee (Art 1472 and 1473/1)**

The committee will have the duty to fix the amounts of compensation. The amount of compensation or the value of replacement land shall be equal to the actual damage, which shall be assessed on the day when it makes the decision.

The committee shall take in to account, in fixing the amount of compensation or **the value of the land to be given replacement of the expropriated land,** **the claim or statement made by interested parties** regarding the value of the properties or rights to be expropriated, and **the increase of the value of the property as a result of construction of public works in the area.**

8.2.3 EXPROPRIATION PROCEDURES UNDER PRO NO 455/2005

Who has the power to expropriate?

Art 3 (1) of the proclamation provides that only a woreda administration, where the land to be expropriated is situated in rural areas, and a city administration, where the land to be expropriated is situated in urban areas, shall have the power to expropriate land. Generally, a land holding may be expropriated only where the project for the implementation of which the land is required serves public purpose.

The woreda or city administration, which decided to expropriate a land holding according to Arts 2/5/ and 3, shall notify, in writing, the landholder of the expropriation order. The notice must indicate the time when the holder must vacate the land and the amount of compensation to be paid to him. The period within which the holder must vacate the land may not be less than 90 days.

However, where there are no crops, trees or other properties in the land to be expropriated, the holder must hand over the land within 30 days of receipt of the expropriation order. The expropriating body may use police force to vacate and take possession of the land.

A. PRINCIPLE AND AMOUNT OF COMPENSATION

A landholder whose holding is expropriated shall be entitled to,

Compensation for the property he produced on the land by his finance, labor and for permanent improvements he has made to such land. Such compensation shall be equal to the replacement cost of the property.

The cost of removal, transfer and re-erection, where the property can be re-erected and resume its service such as flour mills, machinery and other type of property.

Displacement compensation, for a person whose rural landholding is permanently expropriated, which is equal to ten times the average annual income he earned during the last five years preceding the expropriation.

UNIT 9- REGISTRATION OF PROPERTY**9.1 PURPOSES OF REGISTRATION**

The main purpose of registration is to provide security by recording the rights and encumbrances relating to the thing and providing evidence to the right holders. It also enables a potential buyer or mortgagee to ascertain that he or she is dealing with a person who is entitled to sell or mortgage the thing.

Registration of properties also plays significant economic roles by facilitating commercial transactions and creating capital necessary for investment and economic development. In countries with proper property registration systems a house or a building, for example, is used, in addition to its use as a shelter or a business place, as a security or collateral for borrowing money for further investment or expansion of existing investments which creates more jobs, increases production.

Property registration systems may be “documents or deeds” registration system or “title or ownership” registration system.

1. **Documents Registration System:** refers to documents or acts creating or transferring rights on immovable things are filed or kept systematically to give notice interested parties a notice of the transactions involving the immovable concerned.
2. **Title or Ownership Registration Systems;** is a system of registering ownership or other right, such as usufruct, servitude or mortgage rather than the acts or contracts creating such rights.

9.2 THINGS REQUIRED TO BE REGISTERED

The requirement of registration applies to immovable things and special movable things, because of their high economic and social value. Because registration of everything that can be the object of property is impossible and **even if it is possible to do so, commercial transactions will be greatly affected as a buyer has to check registers to be sure that he is transacting with the owner of the thing.**

The End!

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